BARRIERS TO INCLUSIVE DEVELOPMENT IN AFRICA

Prof. Elizabeth Nanziri
Associate Professor of Development Finance & Economic Policy, Stellenbosch Business School

Africa's skyline is rising. Cities are buzzing, highways stretching, and GDP graphs pointing upward. Yet, beneath this surface of progress lies a quieter truth — millions of Africans are still waiting for that growth to touch their lives. The continent's economic story over the past two decades has been impressive on paper, but painfully uneven in practice.

Inclusive development, simply put, is about ensuring that prosperity doesn't stay trapped in boardrooms and capital cities. It's about making sure opportunity trickles down to the farmer in Kisumu, the entrepreneur in Lagos, and the young graduate in Johannesburg. It's growth with fairness, participation, and dignity.

Growth without inclusion

Between 2000 and 2019, Africa's economies grew at an average of 4.5% a year. But that statistic hides a starker one: more than 400 million Africans still live on less than $1.90 a day. It's like watching a tree grow tall but bear too little fruit — something fundamental isn't translating between expansion and impact.

Money that doesn't reach the people

The first barrier is financial. For most small businesses, especially those owned by women or based in rural towns, accessing credit feels like chasing the wind. Banks remain risk-averse, interest rates high, and collateral requirements impossible. Studies have shown women entrepreneurs in Africa are the least likely to receive funding, not for lack of ambition, but because the system isn't built for them.

Microfinance and mobile banking have begun to close the gap, bringing financial services into places where bank branches have never existed. But financial literacy remains low, and many still borrow in desperation, not for development. Until the financial system learns to serve the margins, not just the middle, inclusion will remain a slogan.

Institutions that leak trust

The second barrier is institutional. Weak governance, corruption, and bureaucratic inefficiency eat away at public trust. Development funds too often disappear into the fog of mismanagement before they ever build a school or clinic. Transparency International has long warned that corruption across parts of Africa continues to bleed development dry — not only of money, but of hope.

To make growth inclusive, governments must rebuild trust from the ground up: transparent systems, strong oversight, and leadership that serves rather than rules.

Politics that divide rather than unite

The third barrier is social and political. Across Africa, ethnic divisions, patronage, and political instability continue to fracture development. When opportunity depends on proximity to power rather than merit, whole communities are left behind. True inclusion requires governance that gives everyone — women, minorities, the poor — a seat at the table.

Learning from Africa's own contrasts

South Africa, despite being one of the continent's economic giants, remains one of its most unequal nations. The wealth gap is cavernous, and unemployment, especially among youth, feels like a ticking bomb. The promise of post-apartheid inclusion still struggles against structural inequality that's decades deep.

Then there's Rwanda — a story of what's possible. Rising from the ashes of 1994, the country has built one of Africa's most stable and socially cohesive economies. Through community-driven initiatives like Umuganda, citizens rebuild together, both literally and symbolically. With women occupying over 60% of parliamentary seats, policy in Rwanda reflects a wider range of voices — and it shows in the results.

Lessons from beyond Africa

Brazil's Bolsa Família programme offers another glimpse of inclusion at work: direct cash transfers tied to education and health check-ups lifted millions out of poverty. Germany's model, meanwhile, shows how strong vocational training and universal healthcare keep citizens integrated into both economy and society.

Both examples remind us that inclusion isn't charity — it's strategy. It strengthens economies, stabilises societies, and sustains growth.

A new kind of progress

Africa's challenge is not just to grow, but to grow together. That means designing policies that lift those at the bottom, nurturing community-based initiatives, and investing in the people who hold the continent's future — its youth and women.

Inclusive development isn't a finish line; it's a mindset. It asks every policymaker, every business leader, every citizen: Who gets left behind when we move forward?

Because true progress isn't measured by GDP alone, but by how evenly its light falls across the map of our shared continent.



image/ freepik.com